National Income

1. National income: the big picture

- **National income (NI):** aggregate factor income earned by normal residents in an accounting year; in the chapter's traditional convention, **NI = NNP at factor cost**.
- Factor incomes: wages/salaries, rent, interest and profit. NI is a **flow**, not a stock. India's financial year: **1 April–31 March**.
- **GDP:** value of final goods/services produced within economic territory during a period. **GNP/GNI:** domestic product plus net factor/primary income from abroad; residence matters, not citizenship.
- **Growth rate:** change in real output; **per-capita income:** average income per person. Neither alone proves equitable development or welfare improvement.
- GDP and GNP answer different questions—domestic production versus income accruing to residents. GDP is not universally “better”; greater GDP does not automatically lower inflation or increase exports.

2. History, institutions and sector classification

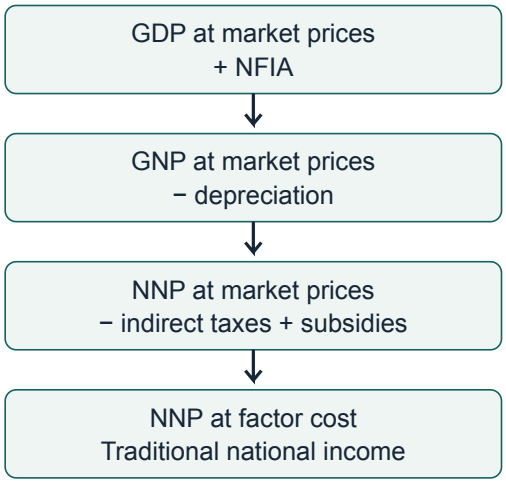
- **Dadabhai Naoroji:** early estimate in **1868**; ₹20 annual per-capita income, as reported in the chapter. Other early estimators: William Digby and R.C. Desai.
- **V.K.R.V. Rao:** pioneering scientific estimate for **1931–32**; PCI ₹62, as reported in the chapter. His historical two-part grouping included services in the non-agricultural/secondary group; do not apply that grouping today.
- **National Income Committee, 1949:** P.C. Mahalanobis (chair), D.R. Gadgil and V.K.R.V. Rao; first report **1951**, estimated 1948–49 NI ₹8,710 crore and PCI ₹225 (chapter's historical figures).
- **CSO:** regular NI compilation from 1955; survey/administrative data support estimates. **NSO under MoSPI:** CSO and NSSO brought together in 2019.
- **NSC ≠ NSO:** National Statistical Commission guides statistical policies/standards. Set up by resolution on **1 June 2005**, constituted **12 July 2006**, following Rangarajan Commission recommendations. NSC
- **Activity-based classification:** primary—agriculture, livestock, forestry, fishing, mining/quarrying; secondary—manufacturing, electricity/gas/water/utilities, construction; tertiary—trade, hotels, transport, storage, communication/broadcasting, finance, real estate/professional services, public administration/defence/other services.
- **Classification trap:** some Economic Survey tables group “agriculture & allied” separately from “industry”; industry then includes mining. The book uses this grouping on p.31. The June 2026 GDP release's broad **primary** sector includes mining. Always check the table's definitions. MoSPI, pp.5–8
- Chapter's historical composition chart (primary/secondary/tertiary): **1950–51: 55/15/30%; 2023–24: 17.7/27.6/54.7%; 2024–25: 17.94/27.13/54.93%**. Treat these as the book's dated, labelled figures; it does not specify the price basis clearly. Sector shares normally use **GVA**, and should not be mixed across bases/classifications. Broad takeaway: services dominate, agriculture's share has declined.

3. Territory and residence

- **Economic territory ≠ geographical borders alone:** includes territorial enclaves such as embassies, consulates and military establishments abroad; excludes foreign enclaves at home. Resident-operated ships/aircraft on international routes contribute through resident enterprises.
- India's embassy abroad → Indian economic territory; foreign embassy in India → excluded from Indian economic territory.
- **Normal resident:** centre of predominant economic interest in an economy; one year or more is a usual guideline, with exceptions. A resident need not be a citizen.
- Students/medical patients abroad generally retain home-economy residence; government-posted diplomats retain sending-country residence. Short-term visitors/experts ordinarily retain home residence.
- **Important correction:** international organisations themselves are non-resident; their staff are not automatically non-resident. Staff and locally recruited embassy workers follow household residence rules. IMF residence guidance
- **NFIA = factor income received from rest of world − factor income paid to rest of world.** Includes labour/property income of residents, not only income of people temporarily abroad. Positive NFIA → GNP > GDP; negative → GNP < GDP.
- Remittances by emigrants who are non-residents are generally **current transfers**, not NFIA. Wages of resident short-term workers abroad are factor income. Do not equate all remittances with GNP.

4. The three conversion switches

Use **D = depreciation/consumption of fixed capital**, **NIT = indirect taxes − subsidies**, **NFIA = net factor income from abroad**.



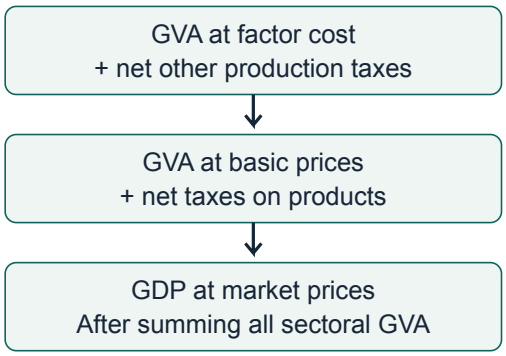
GDP → GNP → NNP → NI. Keep the valuation basis consistent.

- **Gross → net:** subtract D. Depreciation covers normal wear, obsolescence and normal accidental losses; exceptional disaster losses are not ordinary depreciation.
- **Domestic → national:** add NFIA. **Market price → factor cost:** subtract NIT (traditional textbook convention).

- **Eight aggregates:** GDPmp; GDPfc = GDPmp − NIT; NDPmp = GDPmp − D; NDPfc = GDPmp − D − NIT; GNPmp = GDPmp + NFIA; GNPfc = GDPmp + NFIA − NIT; NNPmp = GDPmp + NFIA − D; **NNPfc/NI = GDPmp + NFIA − D − NIT**.
- Example: GDPmp 1,000; D 100; indirect taxes 80; subsidies 20; NFIA −30 → **NIT 60; GNPmp 970; NDPmp 900; NI 810**. All values use the same units/period.

5. Factor cost, basic price and market price

- **Factor cost:** value accruing to factors of production. **Basic price:** producer valuation excluding taxes on products and including subsidies on products. **Market-price GDP:** valuation including net product taxes.
- Distinguish **other taxes on production** (e.g. a business licence/property levy, not directly per unit of output) from **taxes on products** (e.g. GST/excise/customs, linked to product value/quantity). Subsidy classification depends on the scheme; not every input subsidy has the same accounting treatment.
- **GVA at basic prices = GVA at factor cost + other production taxes − other production subsidies.**
- **GDPmp = sum of GVA at basic prices + product taxes − product subsidies.** Do not add all net indirect taxes to basic-price GVA; that would double-count the production-tax adjustment.
- **GVA = output value − intermediate consumption**, with a consistent valuation basis. It shows sectoral contributions; GDP also has a production-side estimate, not only a consumer-side estimate.
- In 2015, India shifted emphasis from GDP at factor cost to GDP at market prices and sectoral GVA at basic prices. 2015 methodology



Basic-price GVA already includes the other-production-tax adjustment.

6. Final goods, capital goods and double counting

- **Raw materials/intermediates:** inputs used up or transformed in producing output. **Final goods:** not used as intermediate inputs in that period; may be consumer goods **or capital goods**.
- Classification depends on **use**, not processing alone: flour used by a bakery is intermediate; flour bought for household consumption is final.
- **Capital goods:** machinery, productive buildings/equipment/vehicles; serve repeatedly and depreciate. They are not intermediate consumption just because they help production.
- Consumer goods may be durable (fridge) or non-durable (food); consumption also includes services.
- **Stock:** assets or inventory at a date. **Flow:** income/output/investment during a period. **Change in inventories is investment**, including unsold current production.
- Avoid double counting: sum **value added** at each stage OR count final output once.

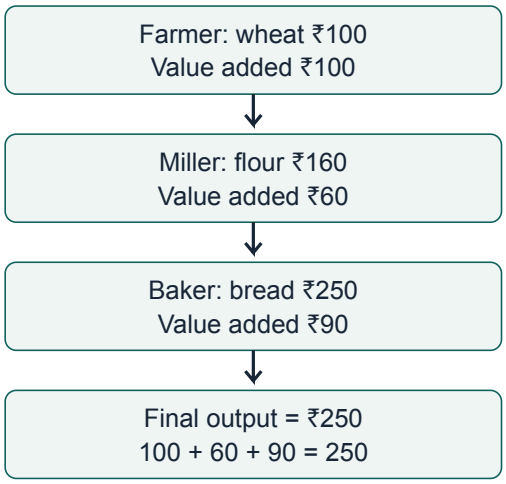
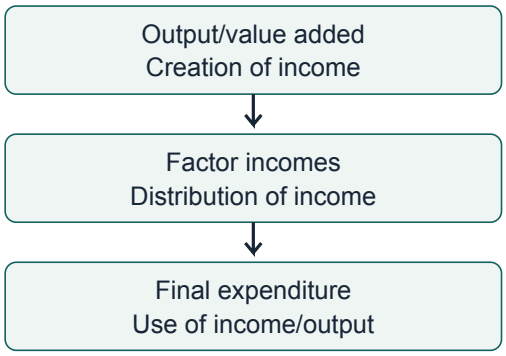


Illustration assumes no other intermediate inputs or tax adjustments. Summing sales (₹510) double-counts.

7. Three methods: production = income = expenditure

- They measure stages of the same economic activity and should agree conceptually; independently measured data can leave statistical discrepancies. India uses production-side and expenditure-side estimates; “expenditure is always the most used method” is not a universal rule.
- **Product/output/value-added method:** add sectoral GVA, then apply valuation and domestic/national/gross/net adjustments as required.
- **Income/distribution method:** textbook **NDPfc = compensation of employees + operating surplus + mixed income**; add NFIA for NI.
- Compensation includes cash/in-kind wages, salaries/allowances and employer social contributions. Employee contributions are paid out of compensation, not added again.
- Textbook operating-surplus breakdown: rent, interest, royalty and profit; profit may be distributed as dividends, retained or paid as corporate tax. Mixed income combines inseparable labour/capital returns of self-employed farmers, proprietors and professionals.
- **Expenditure/total-outlay method: GDPmp = C + I + G + (X − M)**. C = household final consumption; I = gross capital formation, including inventory changes; G = government final goods/services purchases; X/M = exports/imports.
- Define I/G consistently: if I includes public investment, G is government final consumption; if G includes public investment, I excludes it. Avoid counting public investment twice.
- Imports are subtracted because imported spending may already be in C/I/G; **net exports are not FDI**. Buying shares is a financial transaction, not current capital formation.



Three views of the same activity; transfers and asset trades do not create current output.

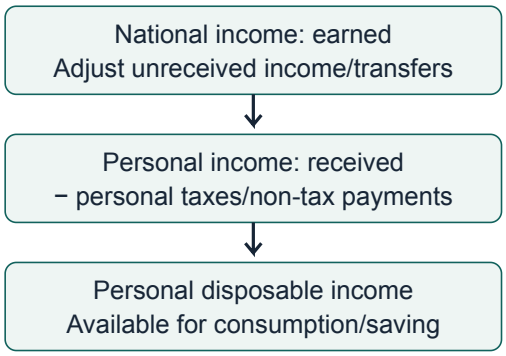
8. Inclusion/exclusion: high-yield exam traps

- **Include:** newly produced market output; government/non-market services valued appropriately; own-account fixed-capital production; own-consumption goods within the production boundary; imputed owner-occupied housing rent; current brokerage/repair/service commissions—even on second-hand or financial transactions.
- **Do not count again:** resale value of existing second-hand goods; intermediate inputs separately alongside final output; purchase/sale value of shares/bonds/debentures; capital/holding gains; lottery winnings and other transfers; death duty as production income.
- **Transfer payments:** gifts, donations, scholarships, unemployment relief and social-assistance payments without a current good/service in return; excluded from current production/factor income, but can enter household disposable income.
- A transfer is not itself consumption expenditure; **the recipient's later purchase** of newly produced goods/services can enter C. Pension treatment can depend on the scheme; not all pensions are identical in detailed accounts.
- **Non-market ≠ excluded:** barter production can count; unpaid household domestic services are generally excluded, while own-produced goods and imputed housing services can count. Natural free air itself is not produced output; supplied/treated water is.
- The source wrongly lists **all imputed expenditures** as excluded: owner-occupied housing services are included. Do not invent blanket “imputed interest” additions without the relevant financial-service accounting treatment.
- **Illegal activity:** the SNA production boundary includes mutually agreed illegal production; difficulty measuring it is separate from the principle. The source's blanket exclusion is misleading. UN SNA
- Exclusion from GDP does not decide taxation; transfers are **not automatically taxable**.

9. Personal and disposable incomes

- **NI = income earned/generated; PI = income actually received by households**, including transfers; corporate retained earnings/taxes are not households' personal receipts.
- **NCERT convention:** PI = NI − undistributed profits − net interest payments by households − corporate tax + transfers to households from government/firms. Use this internally consistent formula; do not mix it with the book's alternative, incomplete formula. NCERT

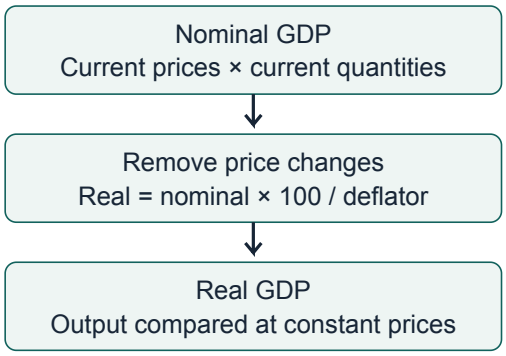
- Chapter comparison: household receipts of interest on government debt can enter PI even where traditional factor-income treatment excludes non-production interest from NI; avoid treating all government borrowing alike in detailed modern accounts.
- **PDI = PI − personal direct taxes − non-tax payments** (e.g. fees/fines in the textbook convention). It is available for consumption/saving, not identical to real purchasing power after inflation.
- **GNDI = GNI at market prices + net current transfers from abroad.**
- **NNDI = GNDI − D = NNPmp + net current transfers = NI + NIT + net current transfers.** The book's unqualified NDI formula is **net** disposable income.
- National disposable income covers the **whole economy**; PDI covers households. Domestic inter-sector transfers redistribute income rather than add to the nation's total; net foreign transfers change national disposable income.



This is the household route. National disposable income instead adds net foreign current transfers.

10. Nominal, real and GDP deflator

- **Nominal GDP = Σ current price × current quantity.** It changes with prices and physical output.
- **Real GDP = Σ base-year price × current quantity** in a simple fixed-base illustration; removes price changes to compare output. It is not confined to the expenditure method.
- **GDP deflator = (nominal GDP / real GDP) × 100**; base-year value = 100. **Real GDP = nominal GDP × 100 / deflator.**
- Nominal GDP 220 and real GDP 200 → deflator **110**. That is a price index relative to the base, not necessarily 10% inflation in the latest year; annual inflation uses its percentage change.
- Deflator: domestically produced final output, including services/investment/exports; composition varies. **CPI:** consumer basket, including imported consumer goods. **WPI:** goods at wholesale/producer stages, excludes services. Deflator is broader for domestic output; CPI is appropriate for consumer cost of living—no index is universally “best”.
- **Base-year update:** the book's “currently 2011–12; proposed 2017–18” is outdated. The **2022–23 GDP series replaced 2011–12 on 27 February 2026**. Do not compare levels from different bases as if they were one series. Official release



Rebasing changes the price benchmark; use one comparable series for growth comparisons.

11. COR, ICOR and potential GDP

- **Capital-output ratio (COR) = K/Y:** capital required per unit of output. **ICOR = ΔK/ΔY:** additional capital for additional output; often approximated by investment divided by output increment, with depreciation/timing conventions stated.
- Lower comparable ICOR indicates greater investment efficiency. A high capital-output ratio can limit output growth despite high saving; ratios across different industries are not automatically comparable.
- Chapter example: ₹1,00,000 for 100 physical units → ₹1,000 capital/unit; ₹50,000 → ₹500/unit. A rupee/physical-unit ratio is not a dimensionless macro COR.
- Harrod–Domar planning link: in a simplified model, **growth ≈ investment share / ICOR**. COR/ICOR featured in India's Five-Year Plans.
- **Potential GDP:** sustainable output using resources at normal/full utilisation, without accelerating inflation; not a maximum at any cost or literally zero unemployment.
- **Output gap convention:** actual real GDP − potential GDP; percentage gap = this difference / potential GDP × 100. Negative → slack; positive → inflationary pressure. Some books reverse the sign: state your convention.
- Determinants: labour participation/skills, capital/infrastructure, technology/productivity, resource availability, institutions/regulation and macroeconomic stability.
- India's constraints: unemployment/underemployment, gender barriers, skills/health gaps, outdated techniques, inefficient investment and cumbersome entry/exit. Measures: participation, education/health, infrastructure, innovation, predictable regulation and stability.
- Source claims “gender equality +26%” and “GST +6.7% potential GDP” lack identified methodology/time horizon. Treat as unverified scenarios, not established effects. AI can improve productivity, but adoption/skills determine the result.

12. Per capita income, uses and limitations

- **PCI = national income / population** with measure and price basis specified; official tables use per-capita **NNI**. Real PCI uses real income, not a casual subtraction of an inflation rate.
- **PPP comparisons:** convert currencies using comparable basket prices to compare purchasing power/real volumes. Market exchange rates and PPP answer different questions; neither average reveals distribution.

- **Correction:** p.41 labels ₹7,513 for 1950–51 as nominal. The Economic Survey table gives **₹274 current-price PCI**; ₹7,513 is its constant-price figure under an older base. Never compare that ₹7,513 with a modern nominal projection. Economic Survey table
- Uses: quantify growth; inform targets/policy, output-gap assessment and revenue forecasting; support business/investment planning; compare living standards with suitable price/population adjustments. Distributional data are additionally needed to assess inequality.
- Limitations: averages hide inequality/poverty; unpaid domestic work/leisure poorly captured; pollution/resource depletion not deducted from conventional GDP; informal/non-observed activity and data/revision errors; quality/comparability problems. GDP is an output measure, not a complete welfare measure.
- **Green GDP:** adjusts for environmental damage/resource depletion; methods differ. The UN's **1993 SEEA** was an early framework for integrated environmental-economic accounting, not proof that the idea first existed in 1993.

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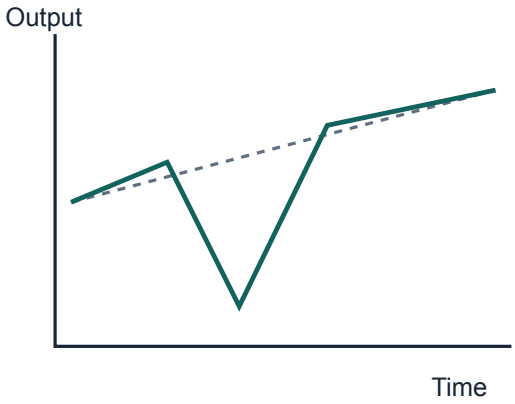
13. Estimates and dated data: separate the vintages

- **First advance estimates:** before year-end, usually January; **second advance:** usually February; **provisional:** after year-end, ordinarily late May/early June; later revised/final estimates incorporate fuller data. Check the release calendar, not a permanently fixed date.
- The chapter's older revision cycle: first RE about 10 months after year-end; second RE 1 year 10 months; third RE 2 years 10 months, formerly released around 31 January. It is a **historical schedule**, not a guaranteed current calendar; 2026 releases use revised/final labels in February.
- **Book's FY2025–26 first advance estimates, old 2011–12 base:** real GDP growth **7.4%**; real GDP **₹201.90 lakh crore**. Chapter sector growth: agriculture/allied **3.1%**, construction **7.1%**, finance/real-estate/professional services **9.9%**. These are forecasts from that vintage, not final outcomes. January 2026 release
- **Later annual vintage—5 June 2026 PE, base 2022–23:** FY2025–26 real GDP growth **7.7%**, real GDP **₹323.12 lakh crore**, nominal GDP **₹346.36 lakh crore**, nominal per-capita NNI **₹2,08,090**. The book's approximate ₹2.53 lakh PCI projection is superseded by this dated estimate. MoSPI PE, statements 1–2
- **Recent quarterly update:** Q1 FY2026–27 real GDP growth **7.8%** (April–June, released August 2026). Quarterly year-on-year growth is not full-year growth. Annual figures above are specifically the June vintage, not an assertion that every value remained unrevised later. PIB September factsheet

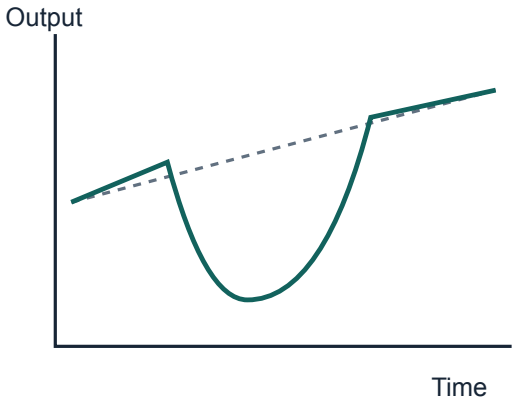
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14. Recovery shapes: level versus trend

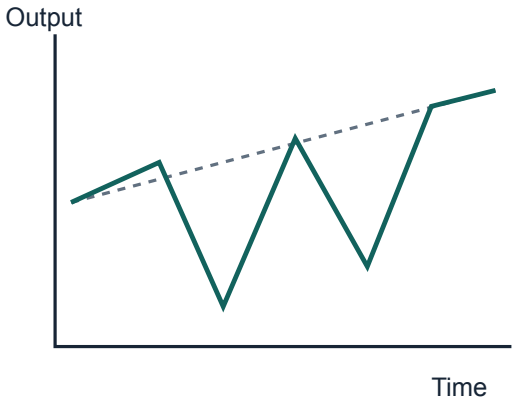
- **V:** sharp fall, rapid recovery. **U:** prolonged trough, then recovery. **W:** recovery interrupted by another downturn (“double dip”).
- **L:** persistent loss/stagnation; no quick return to prior path. **Z:** rebound overshoots as deferred demand is met, then settles. **K:** sectors/groups diverge—some recover, others decline.
- Positive growth after a deep contraction can reflect a **low-base effect**. Distinguish return to the old GDP level, return to its growth trend, and recovery of jobs/incomes.



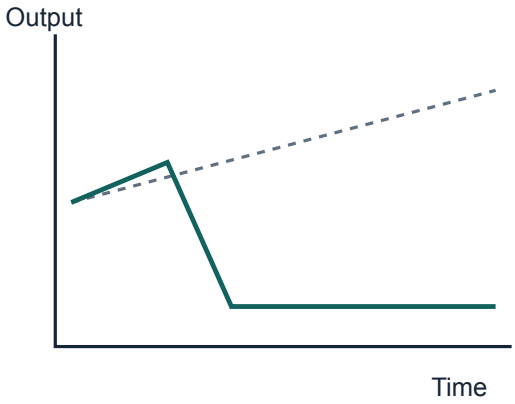
V: rapid rebound after a sharp fall. Dashed line: illustrative pre-shock trend.



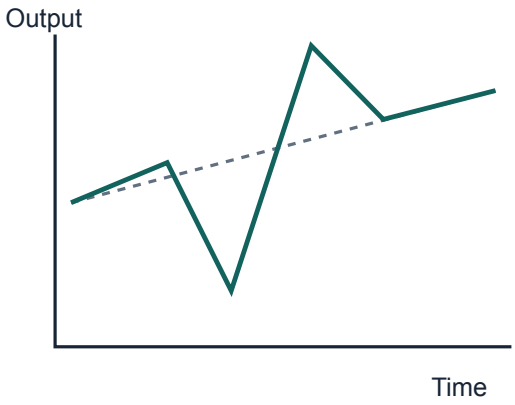
U: a longer trough before recovery. Dashed line: illustrative pre-shock trend.



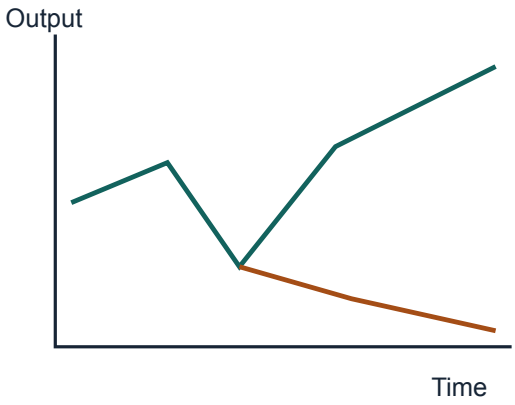
W: recovery interrupted by a second downturn. Dashed line: illustrative pre-shock trend.



L: output remains persistently depressed. Dashed line: illustrative pre-shock trend.



Z: temporary overshoot, then return to trend. Dashed line: illustrative pre-shock trend.



K: different sectors/groups follow divergent paths. Lines: two groups, not one aggregate GDP path.

15. Prelims PYQ recall

All seven full questions/options are in the shared subject JSON; these answers are the **supplied chapter's key**.

- **2024 sector pairs → (b), only two:** dairy farm primary; weaving secondary. Storage is tertiary; mineral exploration is not tertiary in the question's classification. Separate exploration from the general mining/industry grouping noted above.
- **2018 growth versus development → (c):** rising GNP/PCI can coexist with rising poverty/unemployment.
- **2018 high saving but limited output → (d):** high capital-output ratio.
- **2015 real-growth trend/nominal GDP level → (b), statement 2 only:** real growth rates fluctuate; the question concerns the decade ending in 2015. Do not apply its historical assertion to today's decade.
- **2013 national-income description → (d):** money value of final goods/services produced; the broad wording does not replace the precise NNPfc conversion convention.
- **2011 closed economy → (d):** neither exports nor imports.
- **2010 GDP/public-sector trend → (b), statement 2 only:** historical answer relates to the decade in that question; not a current statistical claim.

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16. Mains PYQs: compact answer cues

Full wording and years are in the shared mains JSON. These are **revision outlines**, not model answers; the supplied page gives no marks/word limits.

- **2021—GDP methodology before/after 2015:** old 2004–05 base → 2011–12 base; GDPfc emphasis → GDPmp with sectoral GVAbasic; wider MCA21 corporate data/enterprise approach; refreshed surveys and effective labour inputs; better alignment with SNA2008. Explain effects on coverage/comparability. Answer the historical reform asked, then mention the separate 2026 rebasing if useful. IES methodology explanation
- **2021—V-shaped recovery:** judge using evidence available to the question's period; compare real-output level/trend, base effects and investment/consumption with jobs, informal-sector distress and unequal recovery. Aggregate V and group-level K can coexist.
- **2020—Potential GDP:** define sustainable non-inflationary capacity → determinants → Indian constraints → participation, skills, infrastructure, technology and institutional reforms. Use output-gap distinction.
- **2017—Inclusive growth:** broad participation/opportunity and shared benefits across income, gender, region and social groups; assess jobs, poverty, services and inequality rather than GDP alone. Measures: labour-intensive jobs/MSMEs, agriculture productivity, education/health, inclusion, infrastructure and social protection. This framework supplements the chapter's brief discussion.

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17. One-minute formula sheet

- **GNP = GDP + NFIA**; **net = gross − D**; **FC = MP − NIT**.
- **NI = GDPmp + NFIA − D − NIT** (traditional convention).
- **GDPmp = Σ GVAbasic + net product taxes**.
- **GDP = C + I + G + X − M**; financial investment ≠ capital formation.
- **Deflator = nominal / real × 100**; **real = nominal × 100 / deflator**.
- **PI = NI − retained profits − household net interest − corporate tax + transfers** (NCERT).
- **PDI = PI − personal taxes − non-tax payments**; **GNDI = GNImp + net foreign current transfers**; **NNDI = GNDI − D**.
- **COR = K/Y**; **ICOR = ΔK/ΔY**; **PCI = NI/population** with valuation specified.

- **Residence ≠ citizenship; GDP ≠ welfare; transfer ≠ production; basic price ≠ factor cost.**

Source coverage

- pp.30–31, IMG_5909–5910: meaning/history, institutions, sectors and historical shares.
- pp.32–34, IMG_5911–5913: territory/residents, prices, depreciation, NFIA, goods, COR/ICOR and aggregates.
- pp.35–37, IMG_5914–5916: nominal/real, deflator, potential GDP, eight measures and disposable incomes.
- pp.38–40, IMG_5917–5919: estimate cycles; product, income and expenditure methods; basic prices and inclusion/exclusion.
- pp.41–42, IMG_5920–5921: green GDP, PCI, uses/limitations, dated estimates and recovery shapes.
- pp.43–44, IMG_5922–5923: seven prelims and four mains PYQs. Corrections/current updates are linked beside the relevant notes.